In contrast to the devastating effects that the global financial crisis had on the U.S. and European economies, the Chinese domestic economy survived the crisis relatively well, as its 4 trillion RMB stimulus package translated into massive investment.[22] By this time, the soon-to-be number-two world economy, China, had already extended its trade and investment partners beyond the advanced industrialized nations and its immediate neighbors into Latin America and Africa.[23] As the country's economic partners in the developing world began to experience a slowdown, the Chinese government stepped in by providing loans through its state-owned banks, the China Development Bank (CDB) and Export-Import Bank of China, as well as by extending bilateral currency swaps in RMB.[24] Beyond these bilateral initiatives, the global financial crisis brought to the fore several new forums such as the G20, where China could voice its views and establish new coalitions in support of global financial governance reforms. The crisis tarnished neoliberalism and the globalization of finance[25] and diminished U.S. leadership of the IMF, as it needed to turn to emerging-market economies such as China for more financial resources to help bolster itself.[26] Since the global financial crisis, Chinese financial statecraft became more forceful and started to have multilateral inclinations, particularly in the realms of global financial and currency governance.

President Xi came to power in late 2012, at a time when China had indisputably risen to become one of the great powers in the world, along with the United States. Following the Third Plenum of the CCP's 18th Congress in November 2013, the Chinese leadership launched multiple political and economic reform initiatives, ranging from an anticorruption drive, to phasing out of the one-child policy, to state-owned enterprise (SOE) and financial reforms. In the foreign policy realm, Xi has emphasized China's role as a great developing nation. For example, when commemorating the sixty-year-old "Five Principles of Peaceful Coexistence," which emphasizes equality among all sovereign states and peaceful coexistence, Xi announced China's desire to establish a new-type of international relations through "win-win" cooperation among developing and emerging countries.[27]

With this stance, Xi's political team has pushed for a more activist Chinese foreign policy, ranging from pursuing its conception of Chinese security requirements in the South China Sea to the exercise of strong